

DEX RISK

The most popular DeFi products today mirror those we observe in traditional finance. The main uses for DeFi are gaining leverage, trading, and acquiring exposure to synthetic assets. Trading, as might be expected, accounts for the highest on-chain activity, while the introduction of new assets (e.g., ERC-20 tokens, Synthetics) has led to a Cambrian explosion in DEXs. These decentralized exchanges vary considerably in design and architecture, but all are attempts to solve the same problem: how to create the best decentralized venue to exchange assets.

The DEX landscape on Ethereum consists of two dominant types: Automated Market Makers (AMMs) and order-book exchanges. Both types of DEXs vary in architecture and have differing risk profiles. AMMs, however, are the most popular DEX to date because they allow users to trustlessly and securely exchange assets while removing traditional counterparty risk. By storing exchange liquidity in a trustless smart contract, AMMs give users instant access to quotes on an exchange pair. Uniswap is perhaps the best-known example of an AMM, also known as a Constant-Function Market Maker (CFMM). Uniswap v2 relies on the product of two assets to determine an exchange price. The amount of liquidity in the pool determines the slippage when assets are exchanged during a transaction.

CFMMs such as Uniswap optimize for user experience and convenience but sacrifice absolute returns. CFMM